

2030, while Indian e-commerce giant Flipkart is pouring resources into its quick commerce offering, Minutes. The message from the two e-commerce giants is that quick commerce is no longer a niche dominated by a handful of specialists. It is becoming central to the battle for India's urban consumer.

Zepto has put its initial public offering (IPO) on hold amid questions around valuation and profitability. Swiggy has reshuffled the leadership at Instamart, while BigBasket has brought in a new CEO as the Tata Group's digital businesses undergo a broader transition.

Blinkit, the market leader, which reported a revenue of around ₹38,000 crore in FY26, is moving beyond the dark-store strategy that defined the first phase of the industry and focusing on increasing productivity of the network already built. And, Blinkit is the first major player to demonstrate that the model can generate profits at scale.

This is the industry's first big reality check. For years, quick commerce was synonymous with cash burn. Discounts, free deliveries and aggressive customer acquisition helped create the habit, but made the economics difficult to defend.

BEGINNING OF CHANGE

Swiss multinational investment bank and financial services company UBS's recent research shows discounts have stabilised around 19-20% over the past three-four months compared with the more aggressive period between October 2025 and March 2026, when they were at 24-27%.

Lower discounts, however, do not automatically translate into profits. BigBasket's numbers illustrate a different challenge. In FY26, it spent roughly ₹1.37 to generate ₹1 revenue, losing ₹37 for every ₹100 revenue generated.

For a category built around low-margin grocery, that is a difficult equation to sustain. This is where Blinkit's lead, though modest, becomes important. Its advantage is not simply the size of its order book or dark store network but its tighter grip on costs. It has built its position around a wide assortment, dense dark-store network, and an appeal among relatively premium consumers. Experts say a typical dark store needs at least 1,100-1,200 orders per day to break even, though this varies city-to-city and location-to-location due to real estate costs.

"It's not only AOV (average order value). It's also the operational efficiency and the discipline that you need to bring in. The ability to command a premium on the same SKUs (stock keeping units) versus the other platform directly flows into the bottom line, and

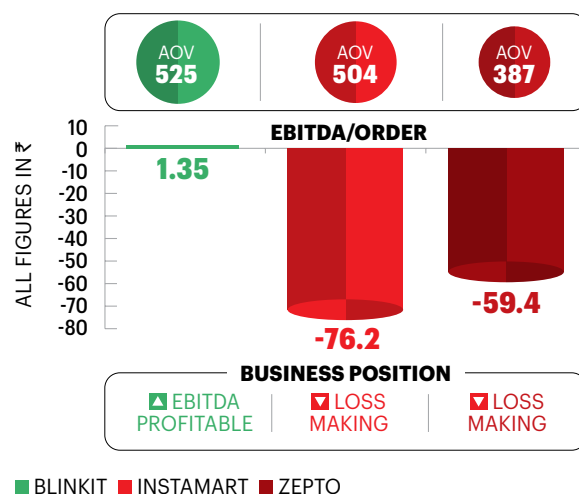


AI IMAGE

THE PROFITABILITY GAP

• Blinkit generated positive adjusted EBITDA per order in Q4 FY26, while Zepto and Instamart remained loss-making

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NOTE DATA IS FOR TOP 3 QUICK COMMERCE PLAYERS. AS OF Q1FY27, BLINKIT'S EBITDA/ORDER WAS AROUND ₹3 AND INSTAMART -₹67.9; EBITDA IS EARNINGS BEFORE INTEREST, TAXES, DEPRECIATION, AND AMORTISATION

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